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Morning Note
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Tone: Mixed

Friday's payrolls beat put the December hike back near 77%, and the AI bounce now has a governance problem at its biggest name. October payrolls rose 165,000 against a consensus near 59,000 to 65,000, unemployment fell to 4.1% and average hourly earnings rose 0.4% m/m and 3.1% y/y, with the prior two months revised up a combined 84,000. CME FedWatch December hike odds finished Friday at 76.8%, up from about 67% Thursday, and 2s10s flattened 3bp to 35bp as the front end gave back part of Thursday's rally. Equities shrugged it off: the S&P 500 rose 0.31% to 7,376.86 and the Nasdaq 100 1.35% as chips bounced, though both still lost 2.68% and 4.91% on the week. Overnight the Nikkei rebounded 2.33% and the Taiex 4.9%, but Nvidia is about 4% to 5% lower pre-market after its board opened an independent investigation into CEO Jensen Huang following reports he was the target of a foreign intelligence effort, which China denies. Oil keeps doing the disinflation work: Brent slipped about 2% to $96.38 early Monday after a 16.9% weekly drop, as Trump said new strikes on Iran were highly unlikely while talks progress. That sets up Tuesday's October CPI, consensus +0.3% headline and +0.2% core m/m, as the print that decides whether the hike is locked in.

OVERNIGHT MACRO

- **Asia:** Nikkei +2.33% to 58,775.50, rebounding from Friday's bear market close of 57,434.77; Topix +2.97% to 3,818.16, with Fast Retailing, Tokyo Electron and Advantest the biggest index contributors. Taiex +4.9% with TSMC +4.7%. Kospi -0.8% to 5,018.85 after a higher morning, Hang Seng -0.1% to 24,448.95, Shanghai Composite +0.3% to 3,660.79, ASX 200 +0.1% to 9,029.70. 10Y JGB about 2.665%, up about 3bp.
- **Europe:** Stoxx 600 +0.7% to 652.84 by about 4:30 AM ET after a flat start, led by banks: Banco BPM +10.3%, UniCredit +5.3%, SAP +2%. Luxury lagged, LVMH -2.87%, Christian Dior -2.54%; Hochtief -4.43%. Early trading: DAX +0.6% to 25,974.42, CAC 40 +0.4% to 8,168.36, FTSE 100 +0.4% to 10,720.81. Eurozone October inflation at 4.0% keeps a December ECB hike priced.
- **FX:** Dollar index closed Friday at 102.28, +0.72%, on payrolls. This morning EUR/USD 1.1188 from a 1.1143 close and USD/JPY 158.09 from 158.43. Bitcoin about $73,984, -2.3% overnight, after a $75,943 Friday close.
- **Commodities:** Brent about -2% to $96.38 and WTI -1.5% to $89.56 early Monday, after Friday closes of $97.76 and $90.34 and a week in which Brent fell 16.9% and WTI 13.2%. Trump said new strikes on Iran were highly unlikely while talks progress, even as both sides reported ships hit near Hormuz and the Houthis claimed an attack on Aramco offices in Riyadh. Gold about $4,104, +0.71%, from a $4,079.50 close.
- **U.S. Futures:** S&P futures +0.36% to 7,429, Dow futures +0.69%, Russell 2000 futures +0.95%, Nasdaq 100 futures -0.01% as of about 4:10 AM ET, with Nvidia's drop holding back tech. Friday close: S&P 500 +0.31% to 7,376.86, Nasdaq 100 +1.35% to 26,989.99, Dow -0.46% to 51,285.73, Russell 2000 +0.89% to 2,754.11, VIX -2.54 to 25.64.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.46%	-12bp	Thursday close (FRED). Front end sold off Friday on payrolls.
10Y Treasury	4.84%	-6bp	Thursday close (FRED). Near 4.86% this morning.
30Y Treasury	5.25%	-3bp	Thursday close (FRED). Down 39bp over the past month.
2s10s	35bp	-3bp	Friday print. Bear flattening after payrolls.
10Y Breakeven	2.23%	-1bp	Friday print. Down 11bp on the week with oil.

The front end did the adjusting Friday: 2s10s flattened 3bp to 35bp after a payrolls report that beat on jobs, unemployment and wages at once, reversing part of Thursday's 12bp rally in the 2Y to 4.46%. The long end is anchored by oil, with 10Y breakevens down 11bp on the week to 2.23% while 5Y breakevens rose 3bp Friday to 2.29%. The 10Y is near 4.86% this morning. Rate vol

eased, with MOVE down 5.15 to 92.77. Wednesday is Veterans Day, so the bond market is closed while stocks trade, which leaves Tuesday's CPI as the last cash Treasury session before Thursday.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	About 77% hike	CME FedWatch 76.8% Friday, up from 66.9% a week earlier. No Fed speakers today; Waller and Bowman Tuesday.

Credit: IG OAS at 93bp, +2bp, and HY OAS at 348bp, +16bp (Thursday close, FRED), 10bp and 45bp wider than a month ago. The 16bp HY move captured Thursday's AI rout; Friday's equity bounce and a VIX back at 25.64 should slow the widening, but spreads have not yet retraced any of the month's move.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$97.76/bbl	-0.54%	Friday close; -16.9% on the week, about $96.38 this morning
WTI Crude	$90.34/bbl	-0.20%	Friday close; -13.2% on the week, about $89.56 this morning
Gold	$4,079.50/oz	-0.83%	Friday close; +4.63% on the week, about $4,104 this morning
Copper	$6.26/lb	+0.18%	Down 3.07% on the week
Nat Gas	$3.00/MMBtu	+1.90%	Up 3.62% on the week

Friday was a partial reversal of Thursday's AI trade. Technology rose 1.45% and Communication 0.43%, while the defensives that held up Thursday gave back ground: Staples fell 1.28%, Materials 0.73%, Real Estate 0.68% and Financials 0.59%. The weekly scorecard is still lopsided, with Technology -8.23% and Energy -12.00% against Communication +4.89%. Overnight the chip bounce carried through Asia, with TSMC +4.7%, but Nvidia's board probe puts the largest AI weight on the defensive into the open.

Sector / Name	Chg	Read
Technology (XLK)	+1.45%	Best sector Friday; -8.23% on the week
Communication (XLC)	+0.43%	+4.89% on the week, best weekly
Cons. Staples (XLP)	-1.28%	Worst sector Friday
Financials (XLF)	-0.59%	Gave back ground with defensives
Energy (XLE)	-0.02%	-12.00% on the week with crude
Nvidia (pre-market)	About -4% to -5%	Board opens probe of CEO Huang; +2.8% Friday
European banks	+5% to +10%	Banco BPM +10.3%, UniCredit +5.3%
TSMC (Taiwan)	+4.7%	Taiex +4.9%

EQUITY SETUP

The open looks like a small cap and value led bounce with tech flat: Russell 2000 futures +0.95% and Dow futures +0.69% against Nasdaq 100 futures -0.01%. Nvidia is the swing factor. A board investigation into the CEO of the largest AI name, about 4% to 5% lower pre-market, lands on a tape that just had its worst week since April 2025 on data center policy risk, and it removes some of the confidence that drove Friday's 1.45% bounce in XLK. Asia shows the rest of the chain is still being bought, with the Taiex up 4.9% and Tokyo Electron and Advantest among the Nikkei's top contributors, so the read today is whether the

Nvidia hit stays single name or spreads to the complex.

The macro cushion is thinner than it was Thursday. Payrolls at 165,000 with 0.4% wage growth put December hike odds back near 77% and pushed front end yields back up, and Tuesday's CPI comes with no year over year figure because October 2025 prices were never collected, so the m/m print carries the full weight. Consensus +0.3% headline and +0.2% core would keep the hike on track; a softer core with Brent down near $96 would give equities their first real rate relief since the selloff. Constellation Energy and KKR report before the open, and Occidental, Take-Two, Hims & Hers and Rocket Lab after the close.

ONE THEME

Energy is disinflating; wages are not. The two inputs the Fed watches most moved in opposite directions last week. Brent fell 16.9% and WTI 13.2%, the steepest weekly drop since 2020, and 10Y breakevens fell 11bp to 2.23% as the market priced a negotiated end to the Iran conflict. Then payrolls showed the labor market reaccelerating: 165,000 jobs, unemployment down to 4.1%, hourly earnings +0.4% m/m and 3.1% y/y, with 84,000 of upward revisions. The bond market split the difference by flattening, with 2s10s down 3bp to 35bp, and FedWatch moved December hike odds from about 67% to 76.8%. That leaves the Fed hiking for services and wages, not for oil, and Tuesday's core CPI is the test of whether the wage signal is reaching prices. A core print at or below +0.2% m/m with oil near $96 lets the long end keep rallying even if the Fed hikes; a +0.3% or hotter core turns the December move from likely to locked in and pushes front end yields higher again.

EVENTS TO WATCH

- **Before the open:** Constellation Energy, KKR, Barrick.
- **10:00 AM ET Wholesale Inventories (Sep):** September data; low market impact.
- **After the close:** Occidental Petroleum, Take-Two, Hims & Hers, Rocket Lab.
- **Tue 8:30 AM ET October CPI:** Consensus +0.3% m/m headline vs +0.6% prior, core +0.2% vs +0.3%. No y/y figure will be published. Waller and Bowman speak Tuesday; CoreWeave reports after the close.
- **Wed Veterans Day:** Bond market closed, stock market open.
- **Thu 8:30 AM ET Jobless Claims:** Nebius before the open; Applied Materials and Cisco after the close. Fed Governor Barr speaks.
- **Fri 8:30 AM ET October PPI:** FXEmpire forecast +0.4% m/m. Vice Chair Jefferson speaks. FOMC minutes Nov 18, decision Dec 9.
- **Key risks:** Nvidia's board probe widening into a broader AI hardware selloff. A core CPI at +0.3% or above locking in a December hike and pushing front end yields higher. A failure of Iran talks or further tanker attacks near Hormuz reversing last week's 16.9% Brent drop.